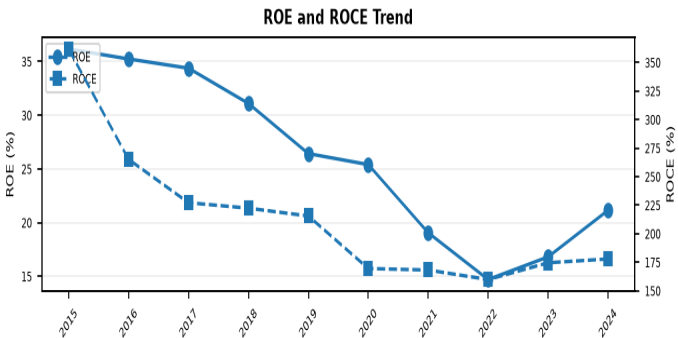
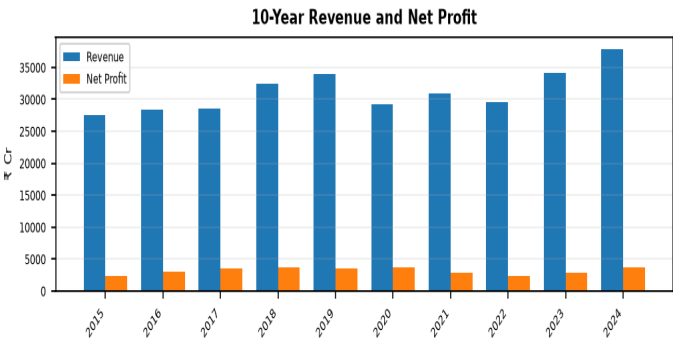
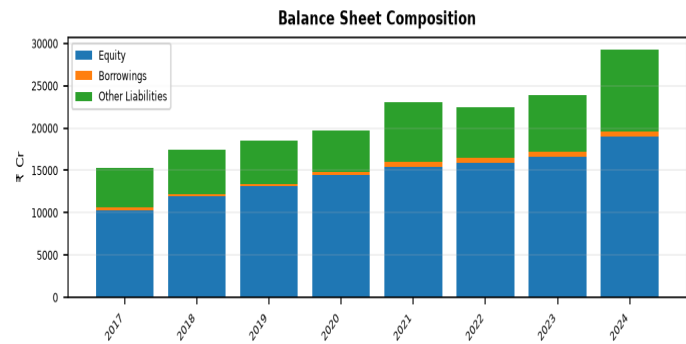


Consumer Discretionary | Hero Moto Corp earlier also known as "Hero Honda" is one of India's first motorcycle manufacturers. The company started in 1984 as a Technological collaboration with Honda, Japan. Before this collaboration, Hero was selling Cycles under the brand name, Hero Cycles.

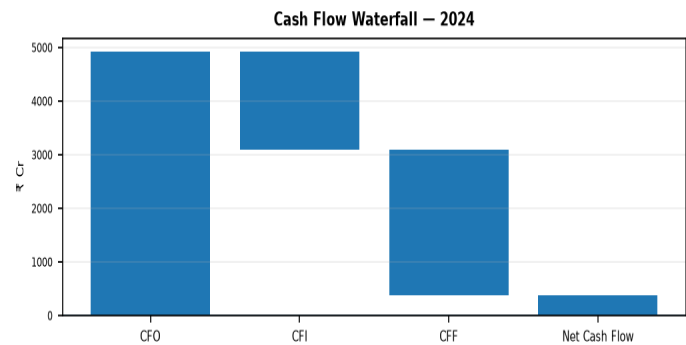
ROE	ROCE	Debt / Equity
21.1%	177.8%	0.03
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
2.1%	1.5%	3,095 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Reinvestor